

## **Rajasthan Board 2018**

### **Grade 12**

### **Economics**

**Time: 3 ¼ Hours**

**Max. Marks: 80**

General instructions to the examinees :

1. Candidate must write first his / her Roll No. on the question paper compulsorily.
2. All the questions are compulsory.
3. Write the answer to each question in the given answer book only
4. For question having more than one part the answer to those parts are to be written together in continuity.
5. If there is any error / difference / contradiction in Hindi & English versions of the question paper, the question of Hindi version of the question paper, the question of Hindi version should be treated valid.
6. Section Q. Nos. Marks per question word limited answer

|   |       |   |         |       |
|---|-------|---|---------|-------|
| A | 1-10  | 1 | 10      | words |
| B | 11-18 | 2 | 20      | words |
| C | 19-27 | 4 | 30-40   | words |
| D | 28-30 | 6 | 250-300 | words |

7. Question Nos. 28, 29 and 30 have internal choices.

### SECTION – A

1. Which economist for the first time used Micro and Macro terms in economics. 1
2. What are the social costs? 1
3. Production function shows relationship between which two variables? 1
4. In which market form the number of buyers and sellers are large? 1
5. Give any two examples of intermediate goods. 1
6. write the definition of money 1
7. What is meant by overdraft? 1
8. Write the formula to calculate marginal propensity to Consume 1
9. What is meant by aggregate demand? 1
10. Write the meaning of open economy. 1

## SECTION - B

11. What do you understand by utility? 1+1=2
12. Explain the substitution effect with example. 1+1=2
13. Clarify the difference between stock and flow 1+1=2
14. Mention two characteristics of national income. 1+1=2
15. Distinguish between gross domestic product and gross national product 1+1=2
16. Explain the  $M_1$  and  $M_3$  concepts of Money Supply. 1+1=2
17. Describe two objectives of budget. 1+1=2
18. Explain two benefits of cashless transactions. 1+1=2

## SECTION - C

19. Mention any four differences between micro economics and macro economics. 1+1+1+1=4
20. Give the meaning of indifference curve, Mention its three features. 1+1+1+1=4
21. Explain the concept of market demand with the help of demand schedule. 2+2=4
22. Explain the concepts of average product and marginal product. 2+2=4
23. Clarify the difference between gross investment and net

investment.

2+2=4

24. Explain four features of the monopolistic competition.

1+1+1+1=4

25. Explain the marginal efficiency of capital with the help of diagram

2+2=4

26. If the marginal propensity to consume is 0.5, calculate the value of investment

4

27. Mention any four reasons for the need of international trade.

1+1+1+1=4

### SECTION – D

28. Explain the three stages of law of variable proportions with the help of diagram

2+2=6

**OR**

Explain the concepts of total cost total variable cost and total cost with help of a schedule.

2+2=6

29. Explain the determination of market equilibrium through demand and supply with the help of diagram.

4+2=6

**OR**

What is the effect of simultaneous increase in demand and supply on equilibrium price? Explain with the help of diagram. **4+2=6**

30. Define commercial bank. Describe any four functions of commercial bank. **2+4=6**

**OR**

Define central bank. Describe any four functions of the central bank. **2+4=6**